

Bank Secrecy Act (BSA) / Anti-Money Laundering (AML) Policy

1. Purpose and Scope

This policy outlines the commitment of LAFCU (the Credit Union) to comply with all applicable laws and regulations under the Bank Secrecy Act (BSA), Anti-Money Laundering (AML) rules, and the USA PATRIOT Act. LAFCU is a federally insured, Michigan state-chartered credit union, regulated and examined by the Michigan Department of Insurance and Financial Services (DIFS) and federally insured by the National Credit Union Administration (NCUA) through the National Credit Union Share Insurance Fund. This AML program is designed to assure compliance with BSA recordkeeping and reporting requirements applicable to credit unions (12 CFR 748.2(b)(1)). This policy applies to all employees, officers, and directors of LAFCU.

2. Policy Statement

LAFCU is committed to preventing its services from being used for money laundering, financing terrorism, or other financial crimes. The Credit Union will comply with all federal and state laws and regulations, implement robust internal controls, and provide regular training to staff. LAFCU will maintain an effective BSA/AML compliance program, including customer identification, customer due diligence, suspicious activity monitoring and reporting, currency transaction reporting, recordkeeping, independent testing, and OFAC compliance. LAFCU will clearly represent NCUA share insurance in its advertising and disclosures and will avoid FDIC-specific references to prevent examiner confusion.

3. Roles and Responsibilities

- Board of Directors: Approves the BSA/AML Policy annually and ensures the Credit Union maintains adequate resources and personnel to comply.

- BSA/AML Officer: Responsible for daily oversight, monitoring compliance, updating procedures, and reporting directly to the Board.
- Employees: Must comply with policy procedures, complete required training, and report suspicious activity to the BSA/AML Officer.

4. Customer Identification Program (CIP)

The Credit Union will implement a written Customer Identification Program to verify the identity of new customers. Required information includes:

- Name
- Date of birth
- Address
- Identification number (for example, Social Security Number, passport, or other government-issued ID)

Retention: LAFCU will retain customer identifying information for five years after the account is closed and will retain records of the methods and results of identity verification, including resolution of any discrepancies, for five years after the record is made (31 CFR 1020.220(a)(3)(ii)).

5. Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD)

The Credit Union will conduct ongoing CDD for all customers and implement EDD for higher-risk customers. EDD measures include additional verification of beneficial ownership, source of funds, and

purpose of accounts, and may include more frequent reviews and transaction monitoring.

Beneficial Ownership (legal entity customers): LAFCU will identify and verify beneficial owners and control persons consistent with 31 CFR 1010.230 and will collect and maintain the certification or equivalent information. Retention: LAFCU will maintain beneficial owner identification information, including the certification or equivalent, for five years after the account is closed, and will maintain records of the methods and results of verification for five years after the record is made (31 CFR 1010.230(i)(1) and (2)).

6. Suspicious Activity Reporting (SAR)

Employees must report suspicious activity immediately to the BSA/AML Officer. The Credit Union will file SARs with FinCEN in compliance with federal requirements:

- Transactions aggregating 5,000 dollars or more involving potential money laundering or violations of the BSA.
- Suspicious transactions, regardless of dollar amount, involving insider abuse.

SAR retention: LAFCU will retain a copy of each SAR and the original or business-record equivalent of all supporting documentation for five years from the SAR filing date. LAFCU will identify and maintain supporting documentation and make it available to FinCEN, law enforcement, and regulators upon request (31 CFR 1020.320(d)).

7. Currency Transaction Reporting (CTR)

The Credit Union will file CTRs with FinCEN for transactions involving currency over 10,000 dollars. Employees are trained to identify reportable transactions and complete necessary documentation.

CTR retention: LAFCU will retain a copy of each CTR for five years from the date of the report (31 CFR 1010.306(a)(2)).

8. Recordkeeping

The Credit Union maintains comprehensive records including:

- SARs and supporting documentation retained for five years from the SAR filing date (see Section 6; 31 CFR 1020.320(d)).
- CTRs retained for five years from the date of the report (see Section 7; 31 CFR 1010.306(a)(2)).
- Customer identification documentation retained for five years after account closure and verification records retained for five years after the record is made (see Section 4; 31 CFR 1020.220(a)(3)(ii)).
- Beneficial ownership identification information, including certification or equivalent, retained for five years after account closure, and verification-method records/results retained for five years after the record is made (see Section 5; 31 CFR 1010.230(i)(1) and (2)).
- Funds transfers and transmittals of funds of 3,000 dollars or more: retain required originator and beneficiary data elements, including as applicable the originator name, address, account number, amount, execution date, and payment instructions; beneficiary name, address, account number; for non-established customers include identifying information and identification numbers; include method of payment when applicable; ensure records are retrievable by name and, where applicable, by account number; retain for five years and make accessible and promptly producible to authorities upon request (31 CFR 1020.410(a)(1) through (5), 31 CFR 1010.430, and 31 CFR 1020.320(d)).
- Monetary instrument sales of 3,000 dollars or more paid in currency: retain purchaser information, including name, address, date, type and serial number of instrument(s), amount, and date of sale, and verification of identity; retain for five years (31 CFR 1010.415(a) through (c)).

- Records of extensions of credit exceeding 10,000 dollars and certain cross-border transfer instructions or advice exceeding 10,000 dollars, retained for five years (31 CFR 1010.410(a) through (c) and 31 CFR 1010.430).
- Training records retained for five years.

General retention: Unless a longer retention period is otherwise required by law, LAFCU will retain BSA/AML records for at least five years and will ensure records are accessible and promptly producible to FinCEN, law enforcement, and regulators upon request (31 CFR 1010.430 and 31 CFR 1020.320(d)).

9. Independent Testing

An independent audit of the Credit Union's BSA/AML compliance program will be conducted annually. Findings will be reported directly to the Board of Directors.

10. Training Program

Annual training on BSA/AML requirements will be mandatory for all employees. Specialized training will be provided to frontline staff and the BSA/AML Officer.

11. Office of Foreign Assets Control (OFAC)

The Credit Union complies with all OFAC regulations and will screen customers and transactions against OFAC sanctions lists. LAFCU will maintain full and accurate records of rejected transactions for at least five years, and for blocked property will retain records for the duration of the block and five years after unblocking. LAFCU will retain copies of OFAC reports (initial, annual, unblocking, and rejected transaction reports) consistent with these retention periods (31 CFR 501.603 and 31 CFR 501.604).

12. Policy Review

This policy will be reviewed and approved annually by the Board of Directors to ensure compliance with evolving regulations and standards.

Approved by Board of Directors: